NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
(COURT- IV)

C.A.(CAA)-4/ND/2022

IN THE MATTER OF SCHEME OF MERGER:

AMONGST

XENA FLUID SYSTEMS PRIVATE LIMITED

... Transferor Company

WITH

S D TECHNICAL SERVICES PRIVATE LIMITED

...Transferee Company

Order Delivered on: -16.03.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. DHARMINDER SINGH, HON'BLE MEMBER (JUDICIAL)
MS. SUMITA PURKAYASTHA, HON'BLE MEMBER (TECHNICAL)

ORDER

PER SHRI DHARMINDER SINGH, MEMBER -JUDICIAL

Under consideration is the Application No. C.A.(CAA)-4/ND/2022 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening and holding the meeting of Shareholders and Creditors in relation to the Transferor and Transferee Companies for

approval of the 'Scheme of Merger', which shall take effect from the Appointed Date of 01.04.2020.

2. M/s XENA fluid systems private limited (hereinafter referred as the **"Transferor Company")** having CIN no. U28991DL2003PTC120715 is a Private Limited company incorporated under Erstwhile Companies Act, 1956 on 04.06.2003 The registered office of the Transferor Company is situated at H.No. 835, 3rd Floor, village kapashera, near fun food village, New Delhi-110037.

3. M/s S D technical services private limited (hereinafter referred as the **"Transferee Company"**) having CIN no. U74899DL1977PTC008778 is a company incorporated under Erstwhile Companies Act, 1956 on 04.11.1977 The registered office of the Transferee Company is situated at H.No. 835, 3rd Floor, village kapashera, near fun food village, New Delhi-110037.

4. That the present Petition has been jointly filed by both the Transferor and Transferee Company. Both the 'Transferor' and 'Transferee' Companies together are called 'Applicant Companies' hereinafter. That the Registered offices of all the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of all the Applicant Company vide separate meetings held on 15.03.2021 have approved the proposed 'Scheme of Merger'.

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6. It is stated by the Applicant Companies that the following objectives are sought to be achieved by way of Merger:

> *"a. Merging Transferor Company and the Transferee Company will give the consolidated company better finances, facilities adequate resource mobilization to sustain growth;*
> *b. The synergy of the merger will improve operational efficiency, integrated management functioning and will enhance the share value for the benefit of shareholders of existing entities;*
> *c. The merger will result in reduction of overheads and other expenditure and bring about operational rationalization, organizational efficiency and optimal utilization of various resources;*
> *d. The merger will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the transferor and transferee company and also avoid duplication of administrative functions and eliminate multiple record keeping.*
> *e. The said scheme of merger is beneficial to the company, their shareholders, employees, creditors and all concerned and will enable these companies to achieve and fulfil their objectives more efficiently and economically;*
> *f. The value of the shares of the combined entity shall enhances the shareholders value by becoming a part of a stronger operating entity, rationalization of inter-company transaction etc.;*
> *g. That the transferor company and transferee company are closely held companies and almost all the shareholders and the directors of the transferor and the transferee are closely related with each other; and*
> *h. None of the directors of the transferor company and transferee company have any material interest in the scheme except as shareholders in general."*

7. All the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013 submitting therein that none of the Applicant Companies are under any prosecution/ investigation/ inquiry under Companies Act 2013.

8. The Applicant Companies have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. The Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Balance Sheets as on 31.03.2020.

10. The position regarding the Applicant Company wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised overleaf:

Company	No. of Shareholders	Percentage of Shareholders given Consent (in value)	No. of Secured Creditors	Percentage of secured Creditors given Consent (in value)	No. of Unsecured Creditors	Percentage of Unsecured Creditors given Consent (in value)
Transferor Company	2	100%	Nil	Nil	1	100%
Transferee Company	2	100%	2	100%	2	100%

11. Since there is no Secured Creditor in Transferor Company, the requirement of convening of their meeting does not arise.

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12. Since there is only 1 Unsecured Creditor in Transferor Company whose consent affidavit has been placed on record. Hence, the requirement of convening their meeting is dispensed with.

13. Since there are 2 Secured Creditors in Transferee Company and the consents have been provided by both of them. Hence, the requirement of convening their meeting is dispensed with.

14. Since there are 2 Unsecured Creditors in Transferee Company and consents have been provided by all of them. Hence, the requirement of convening their meeting is dispensed with.

15. In respect of shareholders of both the applicant companies. The applicants have placed on record, consent affidavits of all the shareholders of both the applicant companies. In view of the consent affidavits the requirement of convening of their respective meeting is hereby dispensed with.

The Application is allowed in the aforesaid terms.

-Sd-

(SUMITA PURKAYASTHA)
MEMBER (T)

-Sd-

(DHARMINDER SINGH)
MEMBER (J)